



THE FUTURE-FOCUSED ROLE OF DIRECTORS IN A TRANSFORMING GOVERNANCE LANDSCAPE

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"THEN VS NOW" GOVERNANCE REFLECTION

"When I joined my first Board, the primary expectation of Directors was..."

"Today, the primary expectation of Directors is..."



"Corporate Governance is the system by which companies are directed and controlled"
- **Sir Adrian, Cadbury Committee**



"The set of processes, customs, policies, laws, and institutions affecting the way a corporation is directed, administered or controlled." - **Wikipedia.**



WIKIPEDIA
La enciclopedia libre

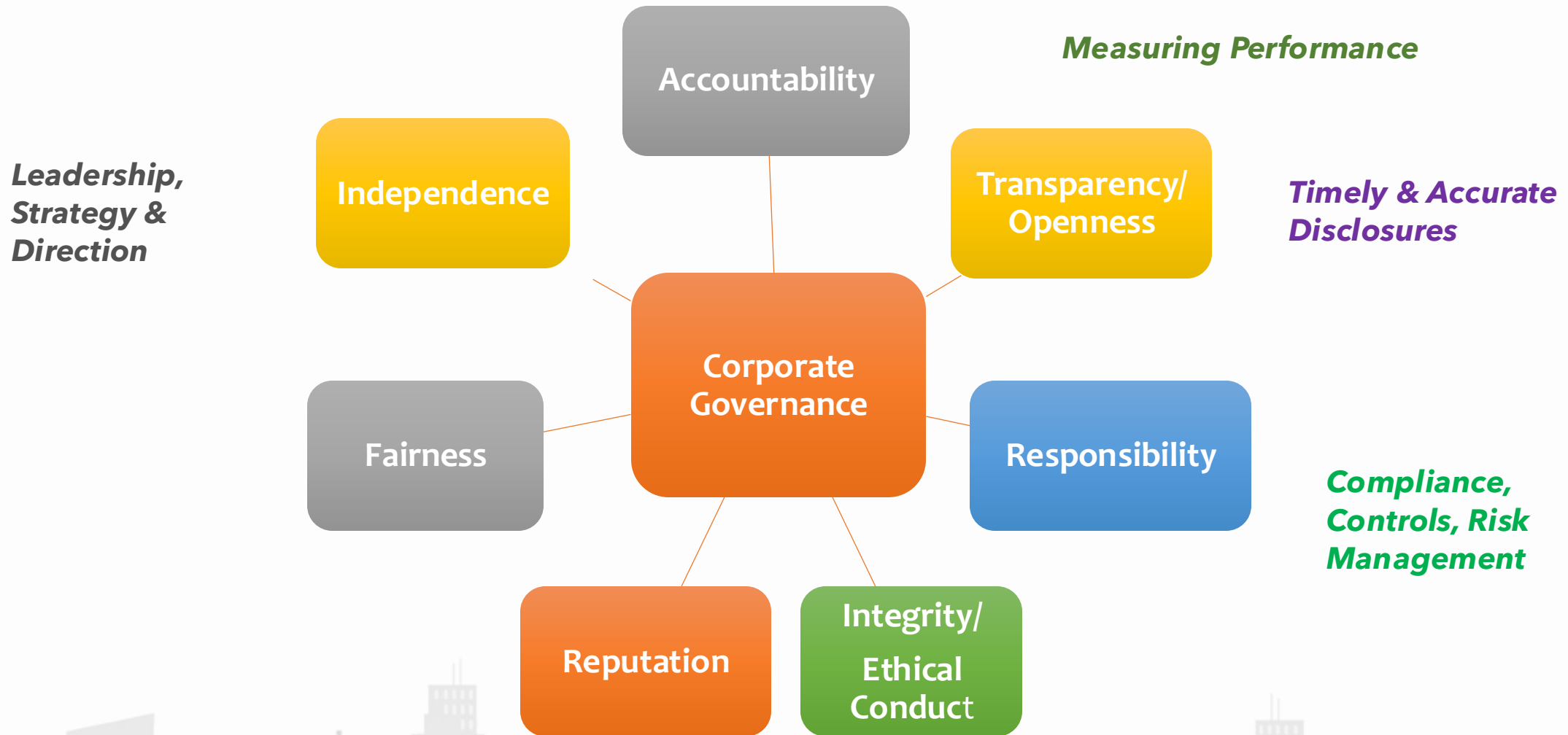
"Corporate Governance is about promoting corporate fairness, transparency and accountability".
- **J. Wolfensohn, Former President of the World Bank.**



Corporate Governance lends itself to and takes into consideration jurisdictional, environmental and cultural peculiarities. There is "no one size fits all"
- **CG - Oyejide and Soyibo**



PRINCIPLES OF CORPORATE GOVERNANCE



BOARD OVERSIGHT IN CORPORATE GOVERNANCE AND COMPLIANCE

The Role of the Board in Corporate Governance and Compliance

- The Board's primary role is **oversight**.
- Approving and overseeing the Company's **governance framework** as good Corporate Governance starts with the Board's behaviour and expectations.
- Ensuring effective compliance with laws, regulations, and policies.
- Monitoring risk, performance, and management conduct.

Effective Board oversight is the foundation of strong corporate governance and regulatory compliance.



THE ROLE OF THE BOARD

- Accountability
- Leadership
- Strategy & Direction
- Define Corporate Ethical Culture - ***Tone at the Top***
- Measure & Monitor Performance
- Risk Management
- Ensure True & Fair View of Financial Statements
- Succession Planning & Business Continuity



CASE STUDY: ENGAGING A CONTRACTOR FOR PRIVATE WORK

CASE FACT

Aurora Assurance Plc recently appointed an indigenous building contractor - **Rockyview Ltd** - to undertake extensive renovation works in all its branches across Nigeria. The Contractor was appointed following a very rigorous selection process. The project has a duration of two years and includes a facilities management retainer, renewable annually. **Prof. Tiwalade**, one of the Company's Non-Executive Directors is building a house for his mother in Ibadan and is impressed with the work of Rockyview and decides to hire the contractor to build his mother's house.



CASE STUDY: ENGAGING A CONTRACTOR FOR PRIVATE WORK

RECOMMENDATIONS

- An actual or perceived conflict of interest may exist when a contractor used by the Company is engaged for private work. Rockyview may be tempted to do private work at a discounted rate for Prof. Tiwalade to ensure that they remain in good favour for future work with the Company. If the Director did receive a discounted rate, he would be improperly receiving a private benefit.
- Even if Rockyview doesn't actually give a discount to Prof. Tiwalade, if they proceed to build the house, their relationship **might be seen to influence** the Director in his decisions about providing future contracts to Rockyview.
- If Prof. Tiwalade does engage Rockyview privately, he must ensure that they charge their standard and published rates for the private work. This won't necessarily address a **public perception that he is receiving a benefit from his position.**
- The Director should declare the private work to the Board prior to any future contract being awarded to Rockyview. Alternatively, Prof. Tiwalade can avoid the conflict by selecting a contractor that does not have any relationship with the Bank, avoiding any actual conflict or risk that the public will perceive there to be a conflict.

DIRECTORS' FIDUCIARY DUTIES AND MANAGING CONFLICTS OF INTEREST

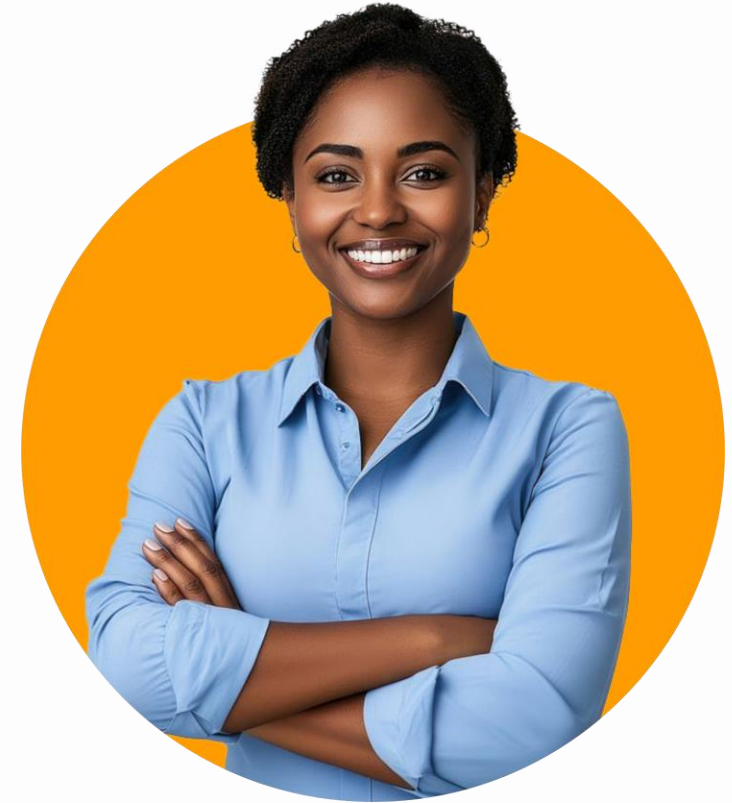
Directors' Fiduciary Duties and Managing Conflicts of Interest

Directors are required to act in the best interest of the Company at all times. This can be broken down into 3 duties;

- **Duty of care** – acting diligently and making informed decisions.
- **Duty of loyalty** – putting the Company's interests above personal interests.
- **Duty of good faith** – acting honestly and with integrity.

Directors are also required to;

- Identify, disclose, and manage conflicts of interest.
- Ensure independent judgment in Board decision-making.



Independence of judgment is the cornerstone of effective Board decision-making.

DUTY TO AVOID CONFLICT OF INTEREST

Actual Conflict of Interest

This occurs when a director or the Board is confronted with a dilemma and the decision or action taken in such situation will result in personal gains or benefits to him often in detriment to the company

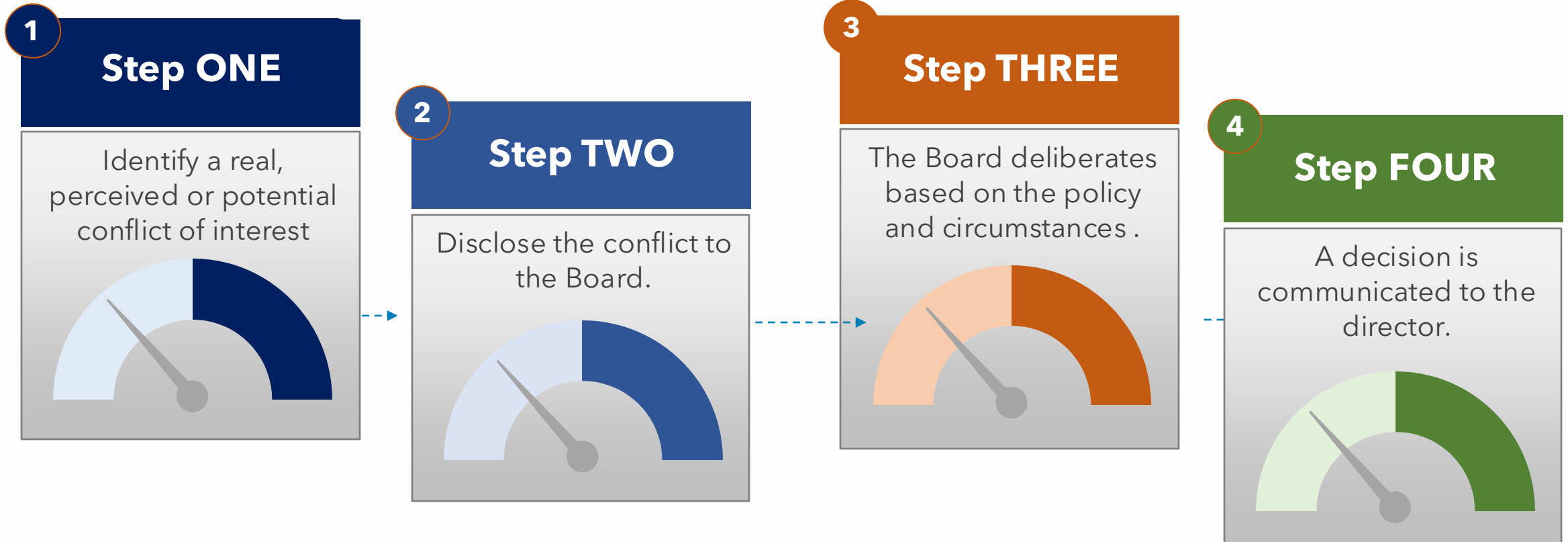
Potential Conflict of Interest

Here, the director is confronted with a decision which may not yield a pecuniary private benefit immediately, but momentarily could result in benefit to the director

Perceived Conflict of Interest

The situation in this context may not give rise to a conflict but a third party observing the situation may think that a conflict of interest exists

4-STEP RESOLUTION OF CONFLICT-OF-INTEREST SITUATIONS



The Nigeria Insurance Industry Reform Act (NIIRA) 2025 represents a fundamental shift in regulatory expectations repositioning the Board from a passive oversight body to an active leadership and accountability anchor within the governance ecosystem.

For Directors, NIIRA 2025 elevates expectations in the following areas:

- Redefining board oversight from periodic review to continuous, risk-informed engagement
- Deepening interaction with assurance functions (internal audit, risk, compliance, actuarial)
- Proactively anticipating emerging risks, rather than responding reactively to regulatory breaches
- Balancing regulatory compliance with long-term value creation and sustainability

IMPLICATIONS OF THE NIGERIA INSURANCE INDUSTRY REFORM ACT (NIIRA) 2025 FOR BOARDS

- Stronger Board responsibility for governance and compliance
- Stronger expectations around enterprise risk management (ERM) and Board oversight of risk appetite
- Enhanced focus on Board and committee effectiveness, including Audit and Risk Committees
- Enhanced regulatory scrutiny of Board decisions and conduct
- Increased regulatory scrutiny of related-party transactions and conflicts of interest



IMPLICATIONS OF THE NIGERIA INSURANCE INDUSTRY REFORM ACT (NIIRA) 2025 FOR BOARDS

NIIRA shifts insurance regulation from a rules-only approach to outcomes and accountability

Regulators will look beyond policies to:

- Board behaviour
- Quality of oversight
- Decision-making processes

Directors are expected to:

- Understand key regulatory obligations
- Ask the right questions
- Ensure issues are addressed early





Personal liability of Directors for offences committed by the company where there is consent, connivance, or failure of oversight

Removal or disqualification of Directors who fail to meet fit-and-proper requirements or are involved in serious governance breaches

Financial penalties imposed on both the company and individual Directors or principal officers

Regulatory intervention, including restriction of Board powers or assumption of control by the regulator

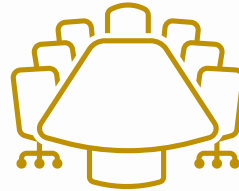
Criminal sanctions, including prosecution, fines, or imprisonment for serious offences

KEY TRENDS IN BOARD LEADERSHIP

Transparency & Disclosure Expectations



**Greater Regulatory
Engagement**



**Stronger Focus on Risk
Oversight and ESG**



**More Active and
Independent Boards**



**Technology, Data, and
Cyber Governance**



**Increased Use of Board
Committees**



**Continuous Learning and
Board Skill Renewal**

WHAT DEFINES A FUTURE-FOCUSED BOARD

Effective Boards must evolve to meet rising governance, regulatory, and stakeholder expectations.



Stronger
oversight, not
passive approval



Deep
understanding
of regulation and
risk



Clear
independence
and ethical
leadership



Effective use of
board
committees



Continuous
learning and
board evaluation

The key takeaway is to **strengthen Board Oversight.**

- Effective Board oversight is the foundation of strong corporate governance and compliance
- Fiduciary duties and proper management of conflicts of interest are central to Board credibility
- Future-focused Boards must be proactive, informed, and independent



